This sitch is Bananas

- Most bananas sold in Canada are grown on huge plantations owned or controlled by transnational corporations (if you’ve eaten a banana recently, it probably came from Ecuador). This enables the transnationals to take advantage of **economies of scale** — **savings that come from producing, using, and buying things in large quantities**.

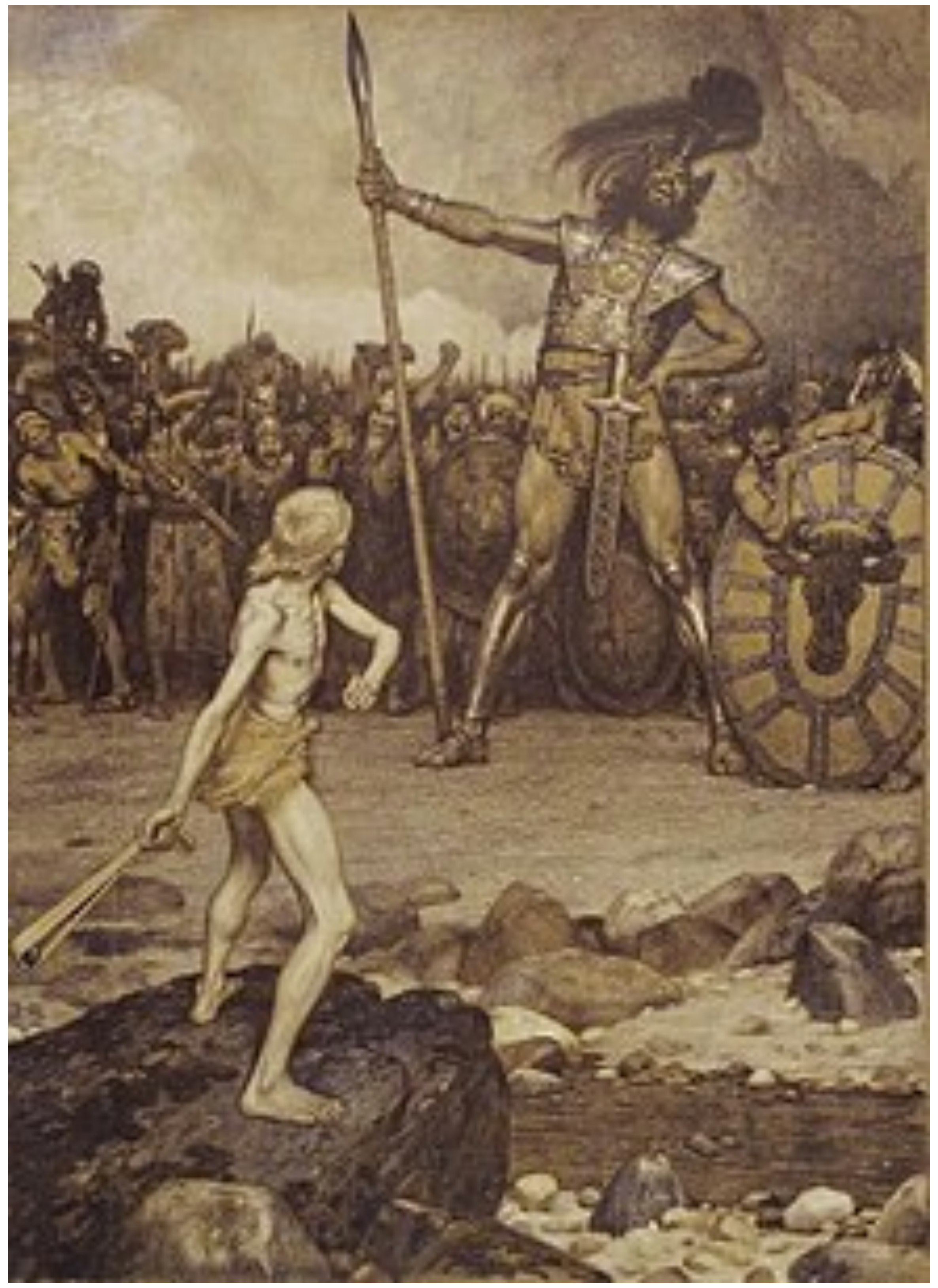
- On plantations, banana yields are often high because of heavy use of chemical fertilizers and pesticides. This means that the **supply** — the number of bananas grown — is often **greater than the demand** — the number of bananas customers order. This leads to **reduced prices**.

- The **transnationals also reduce their costs by controlling many of the ships, containers, and warehouses that are part of the banana distribution network. Transnationals can give themselves a deal and keep the profits in the company.**

- **Labour in Central and South America is cheap, and few workers are protected by union agreements This keeps wages low.**

David vs. Goliath

TNCs vs. Local



Why is it so hard for local businesses (farms) to compete with TNCS?